Description of Petition on Truing up of accounts of ARR & ERC of CSEZA for FY 2024-25

This application is filed before the Hon'ble Kerala State Electricity Regulatory Commission (KSERC) in accordance with the provisions of the Electricity Act 2003, and KSERC (Terms and Conditions for Determination of Tariff) Regulations 2021, for the Truing up of Aggregate Revenue Requirement (ARR) and the Expected Revenue from Charges (ERC) of CSEZA for the Financial Year 2024-25.

Background

Cochin Special Economic Zone (CSEZ), is a government owned Special Economic Zone, under the Ministry of Commerce and Industry, Department of Commerce, Government of India. The Zone, comprising an area of 105 acres, is located at Kakkanad, Kochi. The Cochin Special Economic Zone Authority constituted under the SEZ Act, 2005 is the Developer of the Zone providing the infrastructure and other related services to the Zone.

The Zone has been set up with the objective of promoting exports and creating employment opportunities. Exporting industries are provided with infrastructure facilities like power, water, effluent treatment facility, communication etc. The power distribution network was revamped during the period by the Central Government to provide uninterrupted and quality power to the consumers in the Zone.

Government of Kerala granted Power Distribution license to CSEZ vide *G.O.(Rt)No.118/02/PD* dated 20.6.2002. On obtaining NOC from the KSERC, vide their letter *No.KERC/CSEZ/2/71/2005* dated 1.1.2005, CSEZ started power distribution inside the Zone w.e.f. 1.5.2005 from the 110/11 kV 10/12.5MVA Substation. There are different categories of consumers viz HT, LT including temporary connection for construction purpose, etc. and about 81.36 % of the purchased power is being sold to HT consumers alone during 2024-25. CSEZA adopts the same retail supply tariff structure of KSEBL as approved by KSERC, for the end consumers. Distribution area is limited to the industries and other supporting utility services inside the Zone.

As on 31.3.2025, there were a total of 178 consumers in CSEZA comprising of 25 HT consumers & 153 Nos. LT consumers (96 LT industrial consumers, 22 LT commercial consumers and 35 other LT consumers including temporary for construction purposes). The consumer mix, consumption pattern, etc. depends on financial stability around the world as consumers of the Zone are export oriented units. As such, consumer pattern and their demand for power are dynamic and volatile.

1. Features of Distribution System:

The load pattern is not uniform throughout the year since the power distribution is to a Multi-Product Zone consisting of continuous process industries, seasonal industries and other industries whose power demand depends on demand from their foreign buyers. Bulk Power supply at 110 kV is received from KSEB Ltd and stepped down to 11 kV Voltage within CSEZA's 110/11 kV,10/12.5 MVA Substation. The 11kV distribution within the zone is using Ring Main system and underground cabling.

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2. Details of Power Purchase Agreement for procurement of electricity:

A Power Purchase Agreement with KSEB Ltd. for supply at 110 KV with a Contract Demand of 13000 kVA is existing during the financial year 2024-25.

3. Compliance and regulatory impact related to Commission's directives in the previous and current financial year:

All regulations of the KSERC issued from time to time and directives have been complied with by CSEZA.

4. Performance of Licensee, efficiency parameters and indices:

The performance of the Licensee is periodically reported to the KSERC. This licensee has been functioning within the approved limits of the performance standards prescribed by the Commission in the Standards of Performance Regulations. The billing of consumers is on pre-paid system and the T&D loss is very low.

5. Consumer category-wise energy consumption:

During the financial year 2024-25, the total consumption by all categories was 58.38 million Units as against CSEZA's projection of 56.95 million Units in the MYT petition. There is about 1.3 million Units increase in energy consumption in 2024-25 from the projected /approved consumption. This increase in energy demand is mainly due to volatile nature of the export units and due to load added for SDF Building and ZLD plant. The category wise consumption for FY 2024-25 is given below:

Category	No. of consumers	2024-25(Actuals)	
		Energy Consumption (In Million Units)	Percentage of Total Consumption
HT – Industrial [HT-I(A) & I(B)]	24	46.14	79.03
HT- Agricultural [HT-III(B)]	01	1.36	2.33
LT – Industrial [LT-IV(A) &IV(B)]	96	9.92	16.99
LT – Commercial [LT-VII(A)] & [LT-VII(C)]	22	0.41	0.71
LT – Other categories [LT- VI(A), VI(B) ,VI(C), , VI(F) & VIII(B)]	35	0.55	0.94
Total Consumption	**178**	**58.38**	**100**

6. AT & C Losses:

The distribution system is through underground cabling and pre-paid meters of 0.5S accuracy class. CSEZA had projected 1.421 % distribution loss for FY 2024-25, at the time of filing the MYT petition. This estimation of 1.421% for FY 2024-25 was based on the actual average distribution loss of the previous years. Honorable Commission vide Order dated 19.01.2024 on OP No 10/2023 on the approval of ARR & ERC for the MYT control period 2022-23 to 2026-27 has approved 1.42 % distribution loss for 2024-25.

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The actual distribution loss for the year 2024-25 came to 1.576%. M/s. Athul Energy Consultants Pvt Ltd, the Accredited Energy Auditor has conducted Energy Audit of CSEZA for the year 2024-25 and they have also confirmed that actual Distribution Loss is 1.58%. M/s Athul Energy Consultants in their Energy Audit report has not brought out any abnormal loss occurring, metering errors and any unaccounted energy consumption. CSEZA believes that the actual loss of 1.58 % now claimed is reasonable considering the increased energy consumption for FY 2024-25 from actuals of previous years as well as from MYT projection. The Distribution loss in 110/11 kV Power transformers, 11/433 V distribution transformers and cables will increase for the increased energy consumption and consequent increased current drawn as the distribution loss is proportional to the square of current (Amps). The calculation of T & D loss is given in **Annexure-C** & Details of appropriation of Distribution Loss is given in form No. **D 6.2 (2024-25) Actuals**.

7. Power Purchase and Power Cost:

CSEZA purchases bulk power from the KSEB at 110kV, for distribution within the Zone. CSEZA had projected power purchase of 56.40 MU for FY 2024-25 in the MYT petition, considering 56.95 MU energy sale ,1.37 MU internal solar power generation and 1.421 % distribution loss. Honourable Commission vide MYT order dated 19.01.2024 on OP No 10/2023 had approved the power purchase as per CSEZA's projection. The actual energy purchased from KSEB Ltd for FY 2024-25 was 58.02 MU and purchase cost was Rs.4099.01 lakh. The purchase cost projected for FY 2024-25 in MYT petition was Rs 3950.92 lakh and Honourable Commission had approved the same in MYT Order. The increase in Power Purchase cost from Projection/ Approval is due to the increase in power purchase quantum. There was an increase of 1.62 MU energy purchase in FY 2024-25 compared to the Projection/Approval. Details of Power Purchase and Purchase Cost is given in form No. **D3.1(2024-25) Actuals.**

The details of Power Purchase Cost for FY 2024-25 are summarized below for ready reference:

Particulars	Actuals for 2024-25 being claimed in this truing up petition
Energy Purchase from KSEBL (In lakh units)	580.18
Contract Demand (kVA)	13000
Maximum Demand (kVA)	10558
Excess Demand (kVA)	0.0
Excess Demand Charges (Rs. lakhs)(A)	0.00
Demand Charges (Rs/ kVA)	Rs.400/kVA per month upto 04.12.2024 & Rs.415/kVA per month from 05.12.2024 onwards.
Total Demand Charges(Rs. lakhs) (B)	488.13
Energy Charges (Rs/ kWH)	Rs 6.30/kWH upto 04.12.2024 & Rs. 6.40/kWH from 05.12.2024 onwards
Total Energy Charges (Rs. lakhs) (C)	3673.50
Power Factor Incentive (D) - (Rs. lakhs)	62.62
Any Other Charges) (Rs. lakhs)- E	Nil
Total Cost of Power Purchase (Rs. lakhs) (A +B+C-D+E)	4099.01

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For FY 2024-25, CSEZA has computed purchase cost based on Financial Year basis as per standard accounting practice for energy consumption from 1st April 2024 to 31st March 2025 (invoices received from M ay 2024 to April 2025). As explained in table above, The Power Purchase Cost consists of Demand Charges, Excess Demand Charges, Variable Charges (Energy Charges) and Net Power factor Incentive charges.

Power Purchase Cost for FY 2024-25 reconciled with KSEB Bills is tabulated below:

Month	KSEB Bill No & Date	Demand Charges(Rs)	Energy Charges (Rs)	Power factor incentive (Rs)	Total Power Purchase Cost (Rs)
		Demand Charges(@ of Rs 400/kVA/Month) up to 4.12.2024 & Rs 415/kVA/month from 5.12.2024 onwards	Energy Charges @ Rs 6.30/kWH up to 4.12.2024 &Rs. 6.40//kWH from 5.12.2024 onwards		
Apr-24	11028112102022 Ver : 0 dated 9.5.2024	4223200.00	30822120.00	462331.80	34582988.00
May-24	11028112109974 Ver : 0 dated 06-Jun-2024	4121600.00	31657500.00	474862.50	35304237.50
Jun-24	11028112120221 Ver: 0 dated 05-Jul-2024	3927200.00	29503530.00	590070.60	32840659.40
Jul-24	11028112130218 Ver : 0 dated 08-Aug-2024	3900000.00	30525075.00	610501.50	33814574.00
Aug-24	11028112138384 Ver : 0 dated 07-Sep-2024	4061600.00	31741920.00	476128.80	35327391.00
Sep-24	11028112146063 Ver : 0 dated 07-Oct-2024	4020800.00	29272950.00	439094.25	32854655.75
Oct-24	11028112155032 Ver : 0 dated 07-Nov-2024	4024000.00	31374630.00	470619.45	34928010.55

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Nov-24	1102811216916 0 Ver : 0 dated 09-Dec-2024	4121600.00	30648555.00	459728.33	34310427.00
Dec-24	1102811217853 6 Ver : 0 dated 18-Jan-2025	4101838.07	31293720.00	625874.40	34769684.00
Jan-25	1102811218766 3 Ver : 0 dated 12-Feb-2025	4046250.00	30753920.00	615078.40	34185091.60
Feb-25	1102811219655 1Ver : 0 dated 10-Mar-2025	4046250.00	28344960.00	566899.20	31824311.00
Mar-25	1102811220468 1 Ver : 0 dated 08-Apr-2025	4218890.00	31411520.00	471172.80	35159237.00
Total		48813228	367350400	6262362	409901266

CSEZA has computed the Purchase Cost for the financial year 2024–25, covering expenses related to energy consumption invoices from April 2024 to March 2025, in accordance with standard accounting practices.

8. Return on Net Fixed Assets:

Return on Investment to the tune of Rs.72.90 lakh was projected by CSEZA in the ARR & ERC MYT petition for FY 2024-25 being 5.5% of NFA (Rs 1325.46 lakh) at the beginning of the financial year. Honorable Commission vide MYT Order dated 19.1.2024 had approved only Rs 20.57 Lakh as return on NFA stating that "The licensee has created assets from 2016-17 using their accumulated surplus. Since the same has no cost of funds, the return on NFA is not allowable for the said assets". The actual Return on NFA now claimed in this truing up petition is Rs.61.90 lakh being 5.5 % of the actual NFA at the beginning of year 2024-25 (Rs.1125.37lakh). Details are given in form No. **D 3.8.**

9. Depreciation:

CSEZA had projected a depreciation of Rs.114.30 lakh for FY 2024-25. Honorable Commission vide MYT order dated 19.1.2024 had approved only Rs 37.81 lakh as depreciation for FY 2024-25 stating that the assets created out of accumulated surplus from FY 2016-17 onwards are not eligible for depreciation. The actual depreciation for FY 2024-25 worked out to Rs. 90.33 lakh. This actual depreciation claimed includes the depreciation provided for the year for the already existing assets. Though CSEZA had projected asset additions in FY2024-25, CSEZA could not implement the same in year 2024-25. Details of fixed assets and depreciation claimed for FY 2024-25 are given in form No. **D 3.5 (2024-25) Actuals and** details of Asset additions made in FY 2024-25 is given in form No. **D 4.2 (2024-25) Actuals.**

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10. Employee Expenses:

CSEZA had projected employee expenses of Rs 165.26 lakh in the MYT petition for FY 2024-25. Honorable Commission vide MYT Order dated 19.1.2024 had approved Rs.174.07 lakh as employee expenses as per norms approved in Regulation 80(2) of the Tariff Regulations, 2021. An amount of Rs.109.76 lakh was paid in FY 2024-25 to the outsourced O&M agency as annual fee towards man hour charges for the O&M services provided by them. Further, Rs. 30.46 lakh was apportioned as proportionate employee cost of CSEZ staff who are working for Power Distribution Business. As such, the total employee expenses for FY 2024-25 came to Rs. 140.22 lakh as against Rs 165.26 lakh projected by CSEZA in the MYT petition. Details of Employee Expenses are given in form No. **D 3.4 (a)**.

11. Admin. & General Expenses:

CSEZA had projected A & G expenses of Rs.41.17 lakh for FY 2024-25 in the MYT petition. Honorable Commission vide MYT order dated 19.1.2024 had approved only Rs 37.24 lakh as A & G expenses expense as per norms approved in Regulation 80(2) of the Tariff Regulations, 2021

The total A&G expenses incurred for 2024-25 was Rs. 43.45 lakh. The increase in A & G expenses from approved amount is mainly due to increase in the charges paid to the Agency for Monitoring and Managing Prepaid Metering system, Vsat Internet and related charges , electricity(Own consumption of 110kV Substation and Electrical Lab) and water charges as well as due to increase in inspection fee paid to Electrical Inspectorate. The details of the breakup of this expenditure are explained in Form No. **3.4(b).**

12. Repairs and Maintenance:

CSEZA had projected R&M works of value Rs 22.06 lakh in the MYT petition. For FY 2024-25. The item wise break up and planning of these R & M works were given by CSEZA in MYT petition with details of regular and routine works as well as other special one-time preventive maintenance works as detailed therein with frequency and periodicity. Honorable Commission noted these works in the MYT order dated 19.1.24 and approved only expenses as per norms approved in Regulation 80(2) of the Tariff Regulations, 2021. Commission observed that "The Commission is of the view that the licensee should take all efforts to limit the O&M expenses within the normative level and any additional expenses relating to uncontrollable factors or one-time expenses can be considered at the time of Truing Up of accounts only after prudence check by the Commission "

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The actual expenses incurred towards Repairs and Maintenance works undertaken during FY 2024-25 came to Rs.10.06 lakh. and noted in form No. **D 3.4 (c).** Details of R & M works done during 2024-25 are described below for ready reference:

S.No.	Description of R & M Works undertaken	Amount in (Rs)	Remarks/necessity & justification
1	Comprehensive Health Assessment of the Substation Earthing System under Power Distribution System in CSEZ	2,19,900.00	This work forms part of the planned preventive maintenance activities aimed at ensuring system reliability, operational safety, and regulatory compliance. The health of the earthing system is vital for personnel safety, equipment protection, and effective operation of protective devices. As observed by the Hon'ble Commission, one-time or emergency R&M works may be considered during the Truing Up process based on prudence. The proposed assessment is a proactive step to identify and rectify potential deficiencies in advance, thereby minimizing future contingencies and ensuring prudent maintenance management.
2	Comprehensive Assessment of Relay Coordination and Arc Flash Intensity at the EHT Substaion under Power Distribution System in CSEZ	2,78,000.00	This work forms part of the planned preventive maintenance activities aimed at ensuring system reliability, operational safety, and regulatory compliance. The health of the earthing system is vital for personnel safety, equipment protection, and effective operation of protective devices. As observed by the Hon'ble Commission, one-time or emergency R&M works may be considered during the Truing Up process based on prudence. The proposed assessment is a proactive step to identify and rectify potential deficiencies in advance, thereby minimizing future contingencies and ensuring prudent maintenance management.
3	Testing and servicing of one Vacuum Circuit Breaker (VCB) # SDF 3	80,000.00	This work was included in the MYT petition with a planned frequency of once every three years.

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4	Repair and Oil level top up of 110kV CTs under PDS in CSEZ.	20,960.00	This work was not included in the MYT petition. During the annual preventive maintenance inspection, a low oil level was observed in the R phase of the KSEBL side 110 kV CT due to leakage. Hence, the work was carried out on an emergency basis to rectify the leak and restore the oil to the required level. Oil level top-up was also performed for the remaining phases to ensure the continued safe and reliable operation of the equipment.
5	Shutdown maintenance of all the HT equipments under PDS during Power shutdown on 26th January 2025	25,496.00	This work was not included in the MYT petition. However, additional manpower was engaged for the detailed cleaning of the 110 kV substation yard equipment to ensure reliable operation and system safety.
6	Periodic Servicing and Refilling of Fire Extinguishers under Power Distribution System in CSEZ	68,320.00	This work was included in the MYT petition with a planned frequency of once every year. The activity was also carried out during FY 2023–24; however, the corresponding expenditure was not claimed in that year. The same was accounted for in FY 2024–25, resulting in the total amount appearing as double the planned annual provision.
7	Calibration and testing fee paid to M/s KSEBL for two newly purchased Availability Based Tariff (ABT) meters (Main and Check) installed for Consumer No. 1338800003585, LCN: 8/4201, at the CSEZ Authority 110 kV Substation, CSEZ.	30,010.00	This work was not included in the MYT petition. During operation, frequent time drift issues were observed in both the Secure make ABT meters, initially noticed in 2023 and rectified with technical support from Secure on a chargeable basis; however, the issue recurred subsequently. In addition, the main meter had display visibility problems, while the check meter developed button operation issues. As the rectification charge from the manufacturer (Secure) was approximately ₹50,000 per meter each time, it was decided to replace both meters with L&K make ABT meters.
8	Periodic Testing of Protection Relays in EHT/Distribution Transformers and RMUs under power Distribution System in CSEZ	1,19,000.00	This work was included in the MYT petition with a planned frequency of once every two years.

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9	Replacement of C&S makes protection relays for RMUs under Power Distribution System in CSEZ.	64,500.00	This work was included in the MYT petition with a planned frequency of once every two years.
10	Oil Filtration of Two 12.5 MVA Power Transformers under Power Distribution Systems in CSEZ	96,825.00	This work was included in the MYT petition with a planned frequency of once every two years
11	Consumption of Spares	2,657.00	This the expenditure for consumption of spares from stock
	Total	10,05,668.00	

It is humbly requested that the Hon'ble Commission may kindly approve all the above R&M works without limiting the expenses to the approved norms specified in the Tariff Regulations / MYT Order, as these works were undertaken to ensure continuous and reliable power supply to consumers. Being a Power Distribution Licensee, it is the responsibility of CSEZA to provide reliable, quality, and uninterrupted power supply to consumers in compliance with the KSERC Standards of Performance Regulations, Supply Code, and CGRF Regulations. It is respectfully submitted that while fixing the R&M expenditure norms for the MYT period in the Tariff Regulations 2021, the Hon'ble Commission had considered only the actual expenditure incurred during FY 2018–19 (as per the Truing Up of FY 2018–19), with cost escalation. As explained earlier, the nature and frequency of certain routine works may vary across years depending on their periodicity, and there may also be additional, emergency, or one-time works required to ensure reliable and uninterrupted power supply in line with KSERC regulations and standards. In view of the above, it is requested that the Hon'ble Commission may kindly approve the R&M expenses for FY 2024–25 as actually incurred and claimed in the petition.

13. Total O & M Expenses (Employee expenses + A&G Expenses + R & M Expenses):

As explained in 10, 11 & 12 above, the total O & M expenses for FY 2024-25 came to Rs 193.73 Lakh (140.22+43.45+10.06) against CSEZA's projection of Rs. 228.49.Lakh in the MYT petition. & Commission's approval for Rs 217.82 Lakh in MYT order dated 19.1.2024 Summary of O & M expenses is given in form no **D 3.4(2024-25) Actuals.**

14. Non-Tariff Income:

CSEZA had projected a Non-tariff Income of Rs 71.50 Lakh for FY 2024-25 in MYT petition. Honorable Commission in their MYT order dated 19.1.2024 had approved Rs. 71.50 lakh as Non Tariff Income. The actual Non-Tariff Income during the period came to Rs 132.21 lakh. The increase in Non-Tariff Income from Projection/Approval was due to the increase in FD interest. FD interest was increased since Capital Expenditure planned earlier for FY 2024-25 using amount from FDs could not be implemented in FY 2024-25 thereby yielding more FD interest. Details of Non-Tariff Income is given in form No. **D 2.4.**

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15. Revenue from Sale of Power:

In FY 2024-25, 58.38 MU of energy was sold to different categories of consumers, as against CSEZA's projection for 56.95 MU in the MYT petition. Honorable Commission approved 56.95 MU energy sale in the MYT order. Total Revenue from Sale of Power for FY 2024-25 came to Rs. 4295.58 lakh as against MYT projection of Rs..4173.71 lakh The increase in Revenue from Sale of Power from projection /approval is mainly due to the increase in energy consumption by consumers (1.43 MU increase from MYT projection/approval). Details are given in Form No. **D 2.1(2024-25)-Actuals.**

16. Summary of ARR & ERC for FY 2024-25:

S.No.	Description	Amount Rs. In Lakh
1	**Aggregate Revenue Requirement (ARR)**	
1.1	Cost of Power Purchase	4099.01
1.2	O & M Expenses	193.73
1.2.1	Employee Expenses	140.22
1.2.2	Administration & General Expenses	43.45
1.2.3	Repair & Maintenance Expenses	10.06
	Total O & M Expenses (1.21.1+1.2.2+1.2.3)	193.73
1.3	Depreciation	90.33
1.4	Return On Equity/ Return on Net Fixed Assets	61.90
	Total	**4444.97**
2	**Revenue from Charges (ERC)**	
2.1	Revenue from Sale of Power	4295.58
2.2	Non-Tariff Income	132.21
	Total	**4427.79**
3	**Revenue (Gap)/Surplus**	**(17.18)**

Prayer

It is respectfully prayed that the Hon'ble Commission may kindly approve the ARR and ERC figures as per the actuals while truing up the accounts for FY 2024–25. Explanations for the variations between the actual expenses and the ARR figures approved in the MYT Order dated 19.01.2024 are enclosed as Annexure–B to this petition. The calculation of Distribution Loss for FY 2024–25 is provided as Annexure–C. CSEZA may kindly be permitted to furnish any additional information or submit revisions to the figures, if necessitated, based on the observations or clarifications arising during the Truing Up hearing. Copies of the Separate Audit Report from CAG and the Audited Accounts of CSEZA for FY 2024–25 is enclosed as Annexure–D and Annexure–E, respectively.

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